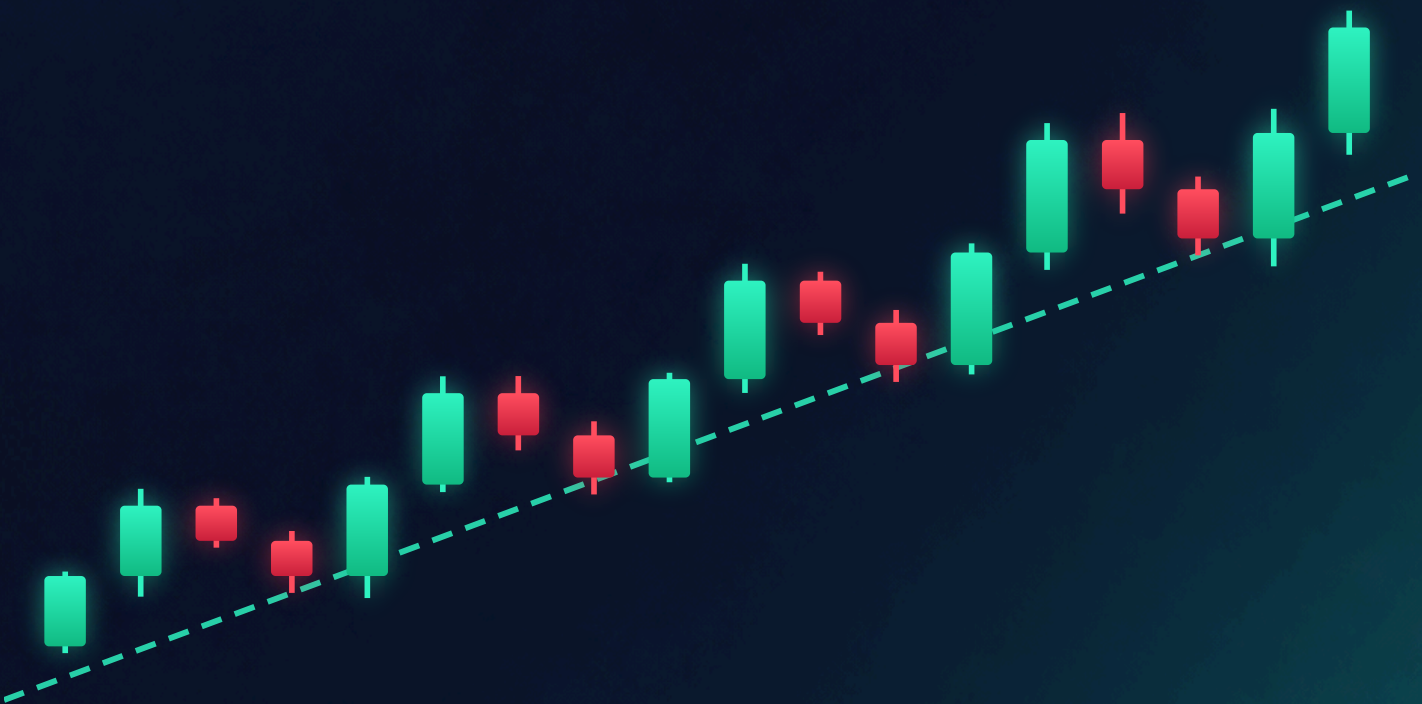


WHAT IS A **TREND** AND HOW DO YOU READ IT?

A Beginner's Guide to
Market Structure in Crypto

Beginner Level



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Table of Contents

01	What is a trend?	03
02	Market structure: swing highs and swing lows	04
03	Uptrends: higher highs and higher lows	05
04	Downtrends: lower highs and lower lows	06
05	Sideways markets	07
06	Pullbacks vs reversals	08
07	When a trend may be ending	09
08	Drawing trendlines	10
09	Trends on different timeframes	11
10	Trends, levels and candlesticks together	12
11	Common beginner mistakes	13
12	Before you act: a trend checklist	14
13	Practice plan and next steps	15

Who this guide is for

This guide is for people who can read a basic candlestick chart and want to understand which direction the market is moving, and how to tell when that direction may be changing. You do not need any trading experience.

Reading a trend helps you understand the bigger picture. It does not tell you what will happen next, and it is not a trading signal on its own.

What is a trend?

A trend is the general direction price is moving over a period of time. At any moment, a market is doing one of three things.

Uptrend

RISING



Price moves higher over time. Buyers are in control, and dips are usually bought.

Downtrend

FALLING



Price moves lower over time. Sellers are in control, and bounces are usually sold.

Sideways

RANGE



Price moves back and forth between two levels. Neither side is in control.

Why the trend matters

Most beginner mistakes come from ignoring the trend: buying in a strong downtrend because price "looks cheap", or selling too early in a strong uptrend. Knowing the trend does not tell you exactly what happens next, but it tells you which direction the market has been favouring.

A simple saying

Traders often say "the trend is your friend until it ends". It means it is usually easier to go with the main direction than against it, but trends do not last forever, so you also need to know the signs that one may be ending.

Market structure: swing highs and swing lows

Price never moves in a straight line. It moves in waves. The turning points of those waves are called **swing highs** and **swing lows**, and together they make up the **market structure**.



Swing high (H)

A peak where price stopped rising and turned down. The candles on both sides of it have lower highs.

Swing low (L)

A valley where price stopped falling and turned up. The candles on both sides of it have higher lows.

The core idea

To read a trend, you compare each swing with the one before it. Is the new high higher or lower than the last high? Is the new low higher or lower than the last low? That comparison is all market structure really is.

Uptrends: higher highs and higher lows

An uptrend is a series of **higher highs (HH)** and **higher lows (HL)**. Each peak goes above the last peak, and each dip stops above the last dip.



Higher highs

Buyers are strong enough to push price past the previous peak.

Higher lows

When price dips, buyers step in earlier than before. Sellers cannot push it back to the old low.

What to watch

As long as each new low stays above the last one, the uptrend structure is intact.

Example

Bitcoin rises to \$70,000, dips to \$65,000, rises to \$75,000, dips to \$70,000, then rises to \$80,000. Each high and each low is higher than the one before. That is an uptrend.

Downtrends: lower highs and lower lows

A downtrend is the mirror image: a series of **lower highs (LH)** and **lower lows (LL)**. Each bounce stops below the last bounce, and each drop goes below the last low.



Lower highs

When price bounces, sellers step in earlier than before. Buyers cannot push it back to the old high.

Lower lows

Sellers are strong enough to push price below the previous low.

What to watch

As long as each new high stays below the last one, the downtrend structure is intact.

Why beginners struggle here

In a downtrend, price often "looks cheap" after every drop. But a lower price alone is not a reason to buy. Until the structure changes, each bounce may just be the next lower high.

Sideways markets

When highs stop going higher and lows stop going lower, the market is moving **sideways**. This is also called a range or consolidation.



1 How to spot it

Highs land at roughly the same price, and lows land at roughly the same price. There is no clear series of HH/HL or LH/LL.

2 What it means

Buyers and sellers are roughly balanced. The market is often pausing before its next bigger move.

3 How it ends

Eventually price breaks out of the range, starting a new uptrend or downtrend, or continuing the old one.

4 Learn more

The top and bottom of a range are resistance and support. Our free Support and Resistance guide covers ranges in detail.

Pullbacks vs reversals

Every trend has moves against it. The key question is whether a move against the trend is just a **pullback**, or the start of a **reversal**.

Pullback

TREND CONTINUES



Price dips but stays above the last higher low, then makes a new high. The uptrend structure is still intact.

Possible reversal

STRUCTURE BROKEN



Price falls below the last higher low and makes a lower low. The uptrend structure is broken.

How to tell them apart

Watch the last low

In an uptrend, the last higher low is the line in the sand. A pullback stays above it; a reversal breaks it.

Wait for a close

A wick below the low is not enough. Look for candles closing below it and staying there.

Check the size

Pullbacks are usually smaller and slower than the moves in the trend direction. Sharp, large moves against the trend deserve more caution.

When a trend may be ending

Trends rarely end without warning. The structure usually changes in two steps: first the trend fails to continue, then it breaks.



1

Warning: a lower high

Price fails to make a new higher high. Buyers are losing strength. This alone is a warning, not a confirmation.

2

Break: below the last higher low

Price closes below the last higher low. The uptrend structure is broken. Traders often call this a break of structure.

A break is not a guarantee

After a break of structure, price may start a downtrend, move sideways, or even recover. It simply means the uptrend is no longer intact, so the bias is no longer clearly up. The same logic works in reverse for downtrends: a higher low, then a close above the last lower high.

Drawing trendlines

A trendline is a straight line that connects swing points in a trend. It makes the direction easier to see and shows where price has been finding support or resistance.



1 Uptrend: connect the lows

Draw the line under the higher lows. It acts like rising support.

2 Downtrend: connect the highs

Draw the line along the lower highs. It acts like falling resistance.

3 Two points draw it, three confirm it

Any two points make a line. A third touch that holds makes it more meaningful.

4 Do not force it

If you have to cut through lots of candles to make the line fit, it is not a useful trendline.

Trendline breaks

A trendline break is an early sign that a trend is slowing, but structure matters more than the line. A trend is only clearly broken when the swing structure changes, as shown on the previous page.

Trends on different timeframes

The same coin can be in an uptrend on one timeframe and a downtrend on another. This confuses many beginners, but it is completely normal.

Daily chart

UPTREND



Over weeks, price is making higher highs and higher lows. This is the main trend.

1-hour chart

SHORT DOWNTREND



Over the last day, price is drifting lower. On the daily chart, this is just a pullback.

Start high

Check the weekly or daily chart first. This tells you the main trend.

Then zoom in

Use the 4-hour or 1-hour chart to see what is happening inside that bigger trend.

Prefer agreement

Things are usually clearer when the smaller timeframe moves in the same direction as the bigger one.

Which trend matters most?

Higher timeframes carry more weight because they reflect more trading activity over a longer period. A 5-minute downtrend inside a daily uptrend is usually just noise.

Trends, levels and candlesticks together

Trends, support and resistance, and candlesticks work best when you use them together. Each one answers a different question.



Trend: which direction?

The chart shows higher highs and higher lows, so the main direction is up.

Level: where to look?

Price pulls back to the old high, which may now act as support.

Candle: how is it reacting?

A hammer forms at the level, showing buyers stepped in. The next candles confirm it.

Three questions, one picture

When the trend, the level and the candle all point the same way, the picture is clearer. When they disagree, it is usually better to wait. Our free Candlestick and Support and Resistance guides on bassammalik.com cover the other two pieces in detail.

Common beginner mistakes

Most beginners struggle with trends for the same few reasons.

01 Fighting the main trend

Buying every dip in a strong downtrend, or shorting every rise in a strong uptrend, usually means fighting the market.

02 Calling a reversal too early

One red candle in an uptrend is not a reversal. Wait for the structure to change: a lower high, then a break of the last higher low.

03 Mixing up timeframes

A downtrend on the 5-minute chart can be a small pullback on the daily chart. Always check the higher timeframe first.

04 Forcing trendlines

Drawing a line through the middle of candles to make it fit gives false signals. If it does not fit cleanly, leave it.

05 Chasing after big moves

Buying after a long, fast rise often means buying just before a pullback. Patience usually gives better prices.

06 Skipping risk management

Trends can reverse suddenly, especially in crypto. Decide in advance how much you are willing to lose, and keep position sizes small while learning.

Before you act: a trend checklist

Before making any decision, run through these questions. Save this page or print it and keep it next to your screen.

1 What is the daily trend?

Up, down or sideways? Check the swing highs and lows, not just the last few candles.

2 Is the structure intact?

In an uptrend, is price still above the last higher low? In a downtrend, below the last lower high?

3 Pullback or reversal?

Is this move against the trend small and slow, or has it broken the structure?

4 Do the timeframes agree?

Is the smaller timeframe moving in the same direction as the bigger one?

5 Is there a level and a candle?

Is price at a clear support or resistance area, with a candle showing a reaction?

6 Where am I wrong?

At what price would the idea fail? Is my possible loss small enough?

Waiting is a decision too

If the trend is unclear or the answers do not line up, the best choice is often to wait. A clear trend is easier to read than a messy one.

Practice plan and next steps

Reading trends gets easier with practice. A few minutes a day on real charts is enough to build the habit.

1 Open a daily BTC chart

Use any free charting platform. Look at the last six months of daily candles.

2 Label the swings

Mark each swing high and swing low. Write HH, HL, LH or LL next to each one.

3 Name the trend

Based on your labels, decide: uptrend, downtrend or sideways. Then check the 4-hour chart and compare.

4 Keep a simple journal

Each week, note the trend and whether the structure held or broke. Over time you will spot changes earlier.

KEEP LEARNING

More free lessons on bassammalik.com

Candlestick patterns, support and resistance, chart timeframes, risk management and more, written for beginners. Use our free risk management tools on the site before you act on any trend.

Disclaimer

This guide is for educational purposes only and is not financial advice. Cryptocurrency trading involves significant risk, and prices can be highly volatile. Trends and market structure do not guarantee future price movements. Always do your own research, never invest more than you can afford to lose, and consider speaking with a qualified financial professional before making any investment decisions.